

Beyond Benefits: Uncertainty and Sticky Information Costs

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The paper in one slide.

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Interesting, thought provoking paper.

Major Point 1

Measuring information acquisition.

- EHB is a measure of information acquisition based on analyst expectations and price movements.
 - It's similar to the Price Jump Ratios in Weller (2018).
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 - It's similar to the Price Jump Ratios in Weller (2018).
 - Not a bad way to measure information acquisition, but there are a lot of assumptions under the hood.
- The EDGAR Log Files (which are used here) are more direct measures of information acquisition.
 - Yes, they also pick up *information demand*.
 - But with some work you can identify IPs that are more likely investors who are most likely acquiring information.
 - The sample will be smaller, but at the very least it could be used to corroborate the EHB measure.

Major Point 2

Information processing costs at the firm level.

- I think there is more you can do here beyond age, complexity, and file size.
- How many analysts are following a firm? And their typical level of disagreement?
- What is the level of institutional ownership?
- Can we do comparisons within industries to control for the complexity of the industry?

Some Minor Points

- ① I'm a little worried about the chicken-and-the-egg problem with IVOL and EHB.
 - Which came first, the price volatility or the lack of information acquisition?
 - Consider other measures of uncertainty/volatility (e.g., cash flow volatility or analyst disagreement).

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 - Which came first, the price volatility or the lack of information acquisition?
 - Consider other measures of uncertainty/volatility (e.g., cash flow volatility or analyst disagreement).
- ② There was a shock to information processing costs in the early 1990s when EDGAR went live. There could be a test here to see whether this had a differential effect on certain firms based on SIC.

Recap in one slide.

Sticky Information Costs (and information processing costs in general) should not take a back seat to the benefits of acquiring information.